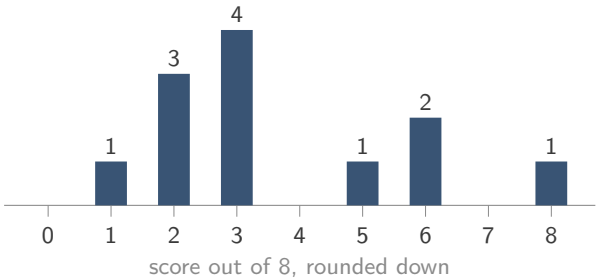
Quiz 3 — how the class did

12
answer strips

3.9
mean score out of 8

3.25
median · range 1–8



What shifts demand right (select all that apply)

Own-brand pasta (the supermarket's cheapest label) is an inferior good for most households. Which of these shift the demand for own-brand pasta to the RIGHT?



exact set correct: 8% · **average credit: 29%** · the shares add to more than 100 %: several circles could be marked

Market demand: add the buyers up

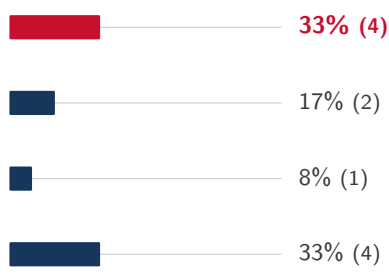
Carla and Nil are the only two buyers of cider at a village shop. At €2 a bottle, Carla buys 6 bottles a month and Nil 4; at €4, Carla buys 4 and Nil 2. Which point lies on the market demand curve?



1 left it blank

Idle factories back to work

A three-month strike in a region ends: factories that stood idle, and their workers, are producing again. The region's people, machines and know-how are the same as before. On the picture of its production possibilities frontier, what happened?



1 left it blank

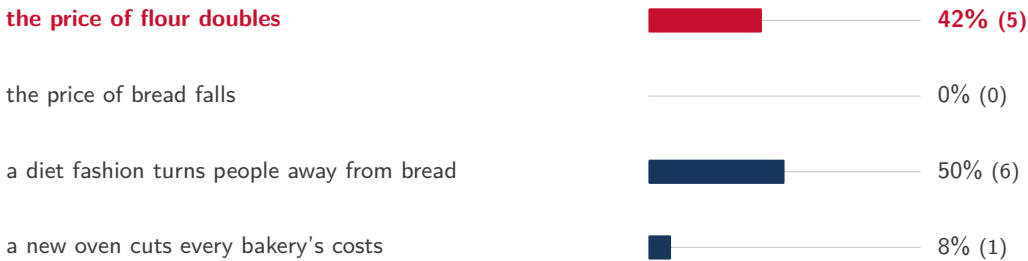
Three steps: a cheaper harvest

A new machine halves the cost of harvesting olives, and every grower in a region uses it. Follow the chapter's three steps for the region's market for olive oil. What happens?



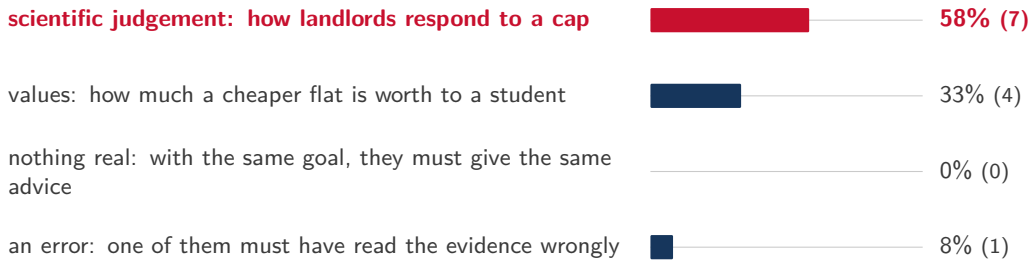
What shifts supply

Think of the supply curve for bread in a small town. Which of these would shift it to the LEFT?



Same goal, opposite advice

Two economists want the same thing: cheaper flats for students. One expects a rent cap to cut rents with hardly any flats lost, and advises the cap. The other expects a cap to drive a tenth of the flats off the market, and advises against it. In the book's terms, their disagreement is about...



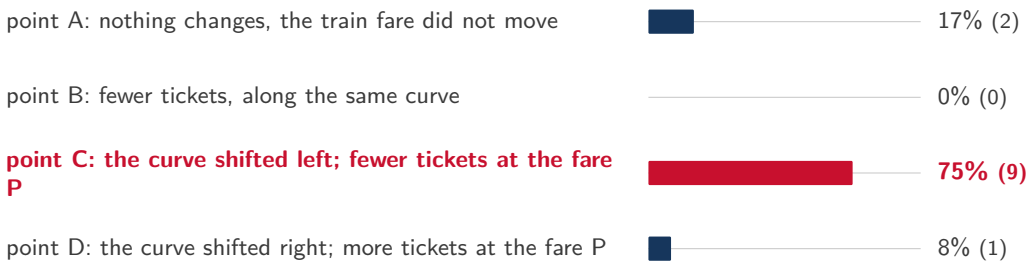
Surplus or shortage: read the gap

The figure shows a town's Saturday market for peaches. At €6 a kilo, the market has...



A cheaper substitute: which point

The figure shows the market demand for train tickets between two cities; the market is at A. Then the airlines cut their fares on the same route, while the train fare stays at P. Which point shows the train tickets now demanded? (The dashed lines are two possible new positions of the curve.)



Hardest three

What shifts demand right

29% credit · 8% exactly right

incomes fall (an inferior good) and branded pasta gets dearer (a substitute)

most chosen instead: the price of own-brand pasta falls (50%)

Market demand: add the buyers up

33% correct

10 bottles at €2 (6 + 4: the quantities added at the same price)

most chosen instead: 3 bottles at €4 (25%)

Idle factories back to work

33% correct

a move from inside the frontier toward it; the frontier itself stays

most chosen instead: nothing moved: the region has the same workers and machines as before (33%)